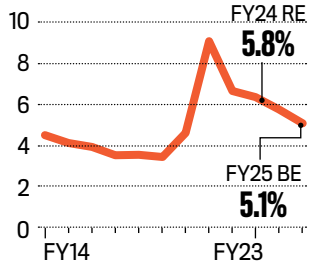
FIGHT FOR CONTROL

Fiscal deficit is 5.1% in the budget estimate for FY25. The goal is to get it to 4.5% by FY26



Source:Budget documents, speech | Reuters, Feb. 1, 2024

with conditions to ensure fiscal prudence. The FY21 disruption came when India was following the trajectory suggested in 2017 by the N.K. Singh-led committee formed to review the Fiscal Responsibility and Budget Management Act, which recommended bringing the fiscal deficit down to 2.5 per cent.

The pandemic disturbed the plan, but not the intention to back the reforms. In her budget speech in 2020, Sitharaman made a statement on extra budgetary resources (EBR) and committed to reduce it. EBR is a way for the government to finance its expenditure, where public institutions borrow money on the exchequer's behalf, so that the loan is not counted in the fiscal deficit. The Centre had in FY22 issued guidelines to discourage such off-budget funding in states. Sitharaman made provisions in her budget to pay off such loans. The states have time till FY27 to clean up their books by paying off off-budget borrowing. This will directly reduce the fiscal deficit.

On the revenue side, the introduction of GST in 2016 changed indirect taxation. India has been reforming direct tax from 2020-21, with a new income tax regime. If plans to create more revenues fructify, fiscal deficit could come down even more. ■

-Anilesh S. Mahajan

*labharthi*s, as the beneficiaries were called, into a whole vote bank cutting across religious or caste divides, and whose support was significant in his return to power in 2019. For the middle class, the passing of the Real Estate (Regulation and Development) Act (RERA) in 2016 to protect homebuyers from unscrupulous developers in addition to boosting investment in the sector was also well-received.

His second term began with big-bang reforms, both on the political as well as on the economic front. Within months of taking over, his government abrogated Article 370 in Jammu and Kashmir. On the economic side, the prime minister granted business a major boon when he reduced corporate tax from 35 per cent to 25 per cent and from 25 per cent to 15 per cent for new manufacturing firms. Simultaneously, the Modi government pushed for the disinvestment of several major public sector units. These included Air India, the loss-making public sector airline, which it sold to the Tatas for Rs 18,000 crore. It also put up the shares of the Life Insurance Corporation, another

schemes were announced across 14 key sectors in May 2020 as part of the Aatmanirbhar Bharat Abhiyan.

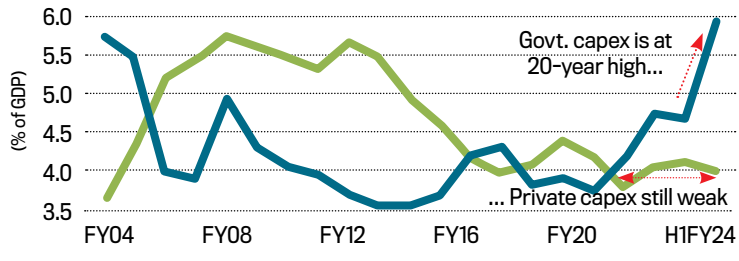
However, despite a steady increase in government projects through a massive boost to capital expenditure, private investment has lagged. The value of completed projects in the private sector dipped from Rs 3.27 lakh crore in 2019-20 to Rs 1.2 lakh crore in 2020-21. It again picked up to Rs 2.8 lakh crore in 2021-22, but slipped to Rs 2.6 lakh crore in 2022-23. Sluggish consumption in certain segments, the threat of inflation, low capacity utilisation and global uncertainties are cited as reasons for the drag.

Capital expenditure of the public sector (including Union government capex, grants to states for capital asset creation, and investment resources of central public sector enterprises) has increased from Rs 5.6 lakh crore in FY15 to Rs 18.6 lakh crore in FY24. "Budget 2024 continues this government's economic policies with a sharpened approach towards accelerating the economy through capital expenditure spending, green growth, digital infrastructure and innovation," says Neeraj Bansal, co-head & COO, India Global, KPMG. Experts say that while there has been some traction in private sector investment, especially in infrastructure, it is still not broad-based. For the country to sustain its 7 per cent or even higher growth, the private sector needs to invest more vigorously. ■

-M.G. Arun

VARYING TRAJECTORIES

While India's government capital expenditure is at a 20-year peak, private capex lags behind considerably



Source: CMIE, Nuvama Research